8. INCOME TAXES

The provision for income taxes consists of:

Year ended December 31,	2005	2004	2003
Current:			
Federal	$ 48,000	$ --	$ --
State and local	256,000	720,500	140,000
Total current	$ 304,000	$ 720,500	$ 140,000
Deferred income tax benefit		(3,482,500)	(2,000,000)
	$ 304,000	$(2,762,000)	$(1,860,000)

The Company recorded a deferred income tax asset for the tax effect of net operating loss carryforwards and temporary differences. In recognition of the uncertainty regarding the ultimate amount of income tax benefits to be derived, the Company has recorded a valuation allowance as follows:

December 31,	2005	2004
Net operating losses	$ 7,668,000	$ 7,385,000
Deferred rent	375,000	--
Allowance for doubtful accounts	658,000	--
Prepaid expense	(231,000)	--
Depreciation	(911,000)	--
Other, net	36,000	--
	7,595,000	7,385,000
Less valuation allowance	(2,037,500)	(1,827,500)
	$ 5,557,500	$ 5,557,500

The provision (benefit) for income taxes differs from the amount computed using the federal statutory rate of 34% as a result of the following:

Year ended December 31,	2005	2004	2003
Federal statutory rate	34%	34%	34%
Permanent difference	1	--	9
State and local income taxes of Interboro	28	9	--
Prior year underaccrual	--	5	--
Federal amt taxes	5	--	--
Change in valuation allowance	(22)	(127)	(162)
	46%	(79%)	(119%)

As of December 31, 2005, the Company had net operating loss carryforwards available to offset future taxable income of approximately $21,300,000, which expire in various years through 2022. Subsequent issuances of common stock in capital raising activities may effect an ownership change, as described under Section 382 of the Internal Revenue Code, that could limit, on an annual basis, the Company's ability to utilize such net operating losses.